

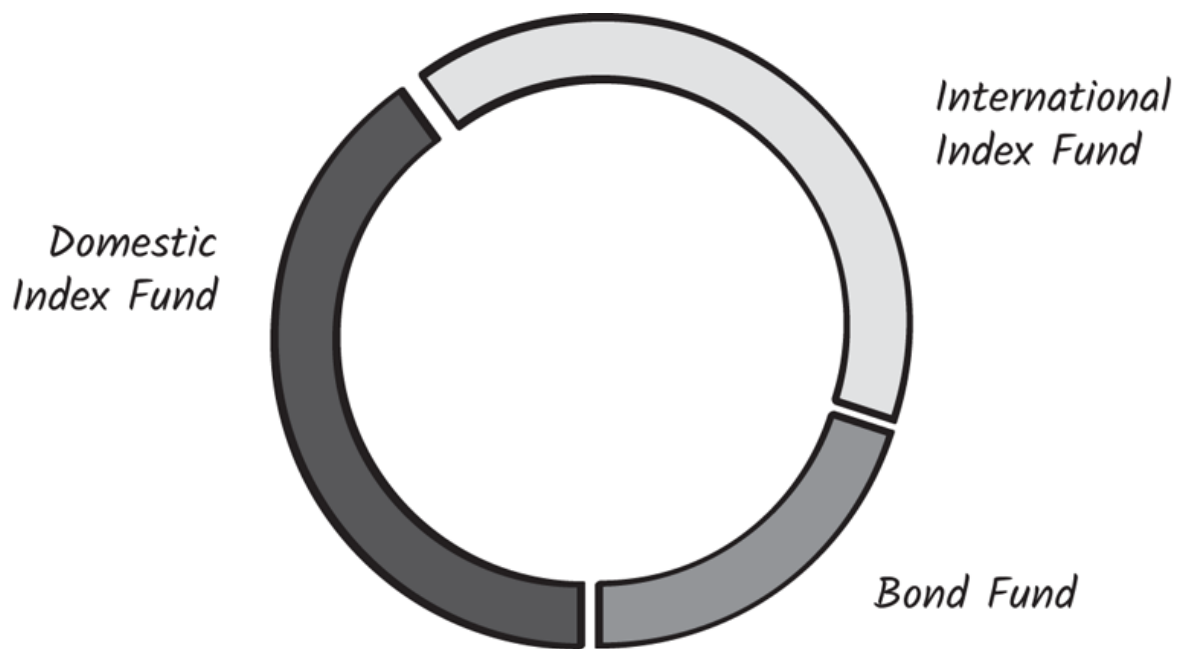


Figure 13.1: the typical Lazy 3 Portfolio set up

The benefits? This approach is diversified, low cost, and set and forget. As I said ... lazy!

Why diversification matters

You've likely heard the old saying, 'Don't put all your eggs in one basket.' It's simple advice, but it holds up, especially when it comes to investing.

What it really means is: spread the risk. Because if you put everything into one basket (or one company, one industry, one investment) and something goes wrong, the whole thing could come crashing down.

That's where diversification comes in. Diversification is just a fancy way of saying don't rely on any single investment. You want your money spread across different types of investments so that if one part struggles, others can help balance it out.

In the previous example, we mentioned index funds like the NZX 50, ASX 200 or S&P 500. These are collections of the largest and most established companies in a market: 50, 200, or 500 of them. When you invest in one of these, you're not just buying one company, you're buying hundreds of the top stocks.